

Phancy - H

Heterogeneous compute meets rising intelligence demand; initiate at Overweight

We initiate coverage of Phancy (6682.HK) at **Overweight** with a HK\$50 price target, based on 15x 2028E EV/EBITDA. Phancy has evolved from enterprise AI software and deployment into an AI infrastructure company spanning heterogeneous-compute optimization and Token production. **We believe Phancy offers a favorable combination of continued growth in intelligence consumption and a structural need for optimization across China's increasingly fragmented compute environment.** Its AI Platform provides a solid growth base, while API is opening a larger usage-based revenue pool by allowing Phancy to monetize compute, model adaptation and serving capabilities through Token production. We forecast 2026-28E revenue CAGR of 36% and expect adjusted net profit to reach Rmb0.9bn by 2028E, putting our 2028E adjusted net profit forecast 37% above consensus.

- **AI infrastructure demand remains strong, while scarcity is shifting toward efficiency.** Reasoning, agents, long context and multimodality increase intelligence consumption per task, while falling inference costs broaden the range of economically viable workloads. China adds another structural driver as enterprises increasingly operate across Nvidia and domestic accelerators alongside multiple foundation models, raising the value of resource scheduling, heterogeneous optimization and model-aware serving. Phancy is directly exposed through HAMi/RISE, ModelHub and its broader enterprise deployment stack. AI Platform revenue growth of 30% YoY in 1H26 provides company-level evidence that enterprise AI infrastructure demand remains healthy.
- **API is the key step in converting heterogeneous-compute capability into scalable Token economics.** Phancy can deploy third-party models on its compute base, optimize model-hardware combinations and sell inference capacity to enterprise customers, gaining exposure to rising Token consumption without bearing frontier-model training costs. API revenue reached Rmb464mn in 1H26, up 861% YoY, and we expect it to remain the fastest-growing business through 2026-28E. Competitive open models expand the opportunity by increasing both intelligence supply and deployment complexity. We expect API gross margin to approach c.30% as utilization and serving efficiency improve, making gross margin and gross profit per unit of compute important evidence of value capture.
- **We expect earnings to run ahead of consensus as API scales and operating leverage develops; capital productivity is the next test.** Our 2028E adjusted net profit forecast is 37% above consensus, reflecting stronger API growth, margin improvement and slower growth in operating expenses relative to revenue. Phancy still requires compute, equipment and working capital to support expansion, so CFO, FCF and incremental ROIC remain important alongside accounting earnings.

Initiation Overweight

6682.HK, 6682 HK

Price (23 Sep 26): HK\$27.60

Price Target (Dec-27): HK\$50.00

China Internet

Olivia Xu AC

(86-21) 6106 6138

olivia.w.xu@jpmorgan.com

SAC Registration Number: S1730525060001

Alex Yao

(86 21) 6106 6505

alex.yao@jpmorgan.com

SAC Registration Number: S1730523020001

J.P. Morgan Securities (China) Company Limited

Half Yearly Forecasts (FYE Dec)

Adj. EPS (Rmb)	2025A	2026E	2027E
H1	(0.10)	0.30A	(0.03)
H2	0.11	(0.04)	0.74
FY	0.01	0.26	0.71

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	77	80	85	100	100
Growth	1	10	8	90	96
Momentum	99	100	6		
Quality	91	92	93		
Low Vol	95	100	99		

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 18 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



— 6682.HK Price (HK\$)— MSCI-Cnx (rebased)

	YTD	1m	3m	12m
Abs	-37.3%	3.1%	4.4%	-55.8%
Rel	-27.1%	6.3%	-0.2%	-41.7%

Company Data

Shares O/S (mn)	532
52-week range (HK\$)	70.00-23.70
Market cap (\$ mn)	1,871
Exchange rate	7.84
Free float (%)	80.0%
3M ADV (mn)	6.36
3M ADV (\$ mn)	22.5
Volatility (90 Day)	70
Index	MXCNX
BBG ANR (Buy Hold Sell)	10 0 0

Key Metrics (FYE Dec)

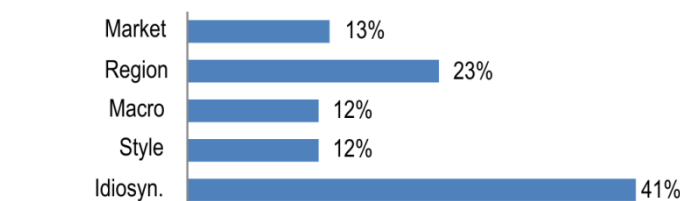
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	7,135	10,628	14,583	19,798
Adj. EBIT	(89)	127	441	1,133
Adj. EBITDA	(107)	139	542	1,311
Adj. net income	6	141	378	965
Adj. EPS	0.01	0.26	0.71	1.81
BBG EPS	0.05	0.21	0.60	1.23
Cashflow from operations	(681)	523	376	421
FCFF	(947)	125	(170)	(246)
Margins and Growth				
Revenue Growth Y/Y (%)	35.6%	49.0%	37.2%	35.8%
EBIT margin	(1.3%)	1.2%	3.0%	5.7%
EBIT Growth Y/Y (%)	(74.6%)	(242.5%)	246.1%	157.0%
EBITDA margin	(1.5%)	1.3%	3.7%	6.6%
EBITDA Growth Y/Y (%)	(63.4%)	(229.6%)	290.1%	141.9%
Net margin	0.1%	1.3%	2.6%	4.9%
Adj. EPS growth	(102.0%)	1983.9%	168.7%	155.5%
Ratios				
Adj. tax rate	45.9%	1.5%	13.4%	14.2%
Interest cover	-	-	-	-
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	16.7	NM	NM	NM
ROE	0.1%	1.7%	3.9%	9.2%
Valuation				
FCFF yield	(8.0%)	1.0%	(1.4%)	(2.0%)
Dividend yield	-	-	-	-
EV/Revenue	1.4	0.8	0.6	0.5
EV/EBITDA	NM	63.3	16.5	7.0
Adj. P/E	1,862.2	89.4	33.3	13.0

Summary Investment Thesis and Valuation

We rate Phancy Overweight as China's fragmented AI infrastructure environment creates structural demand for heterogeneous-compute scheduling, optimization and enterprise deployment. We believe products such as HAMi and ModelHub can become increasingly valuable as customers seek to improve utilization across different accelerator architectures and reduce the cost and complexity of deploying AI workloads. The investment case depends on productization: successful conversion of deployment expertise into reusable software can support higher gross margin, stronger revenue per employee and more scalable economics. In our framework, this gives Phancy exposure to both infrastructure optimization scarcity and the enterprise implementation gap.

Our Dec-27 PT of HK\$50 is based on 15x 2028E EV/EBITDA. We use EV/EBITDA to reflect the company's infrastructure and deployment exposure, which remains more capital- and service-intensive than traditional software. We apply a 15x multiple with Phancy's faster growth and differentiated heterogeneous-compute exposure supporting a premium to mature infrastructure peers, while the still-high deployment and services component limits justification for an 18–20x software-like multiple.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.34	0.43
Region: China	0.67	0.57
Macro:		
Emerging Economies CPI(YoY)	0.32	0.24
US 10 Year Yield	0.22	0.23
JP Morgan EMBI Global Spread	-0.14	-0.21
Quant Styles:		
Size	-0.42	-0.27
Momentum	-0.41	-0.15
Value	0.09	-0.12

Industry: intelligence consumption expands the opportunity as infrastructure value moves toward efficiency

Phancy sits within the AI infrastructure and enterprise deployment layer. The underlying opportunity starts with continued growth in intelligence consumption. Reasoning models can consume substantially more inference compute than conventional LLM queries, while longer context, multimodality and agentic workloads increase the amount of intelligence used within a single task. At the same time, lower model and inference costs make AI economical across a broader range of workloads. Efficiency gains can therefore coexist with higher absolute infrastructure demand as lower unit costs stimulate additional usage and better models expand the range of addressable work.

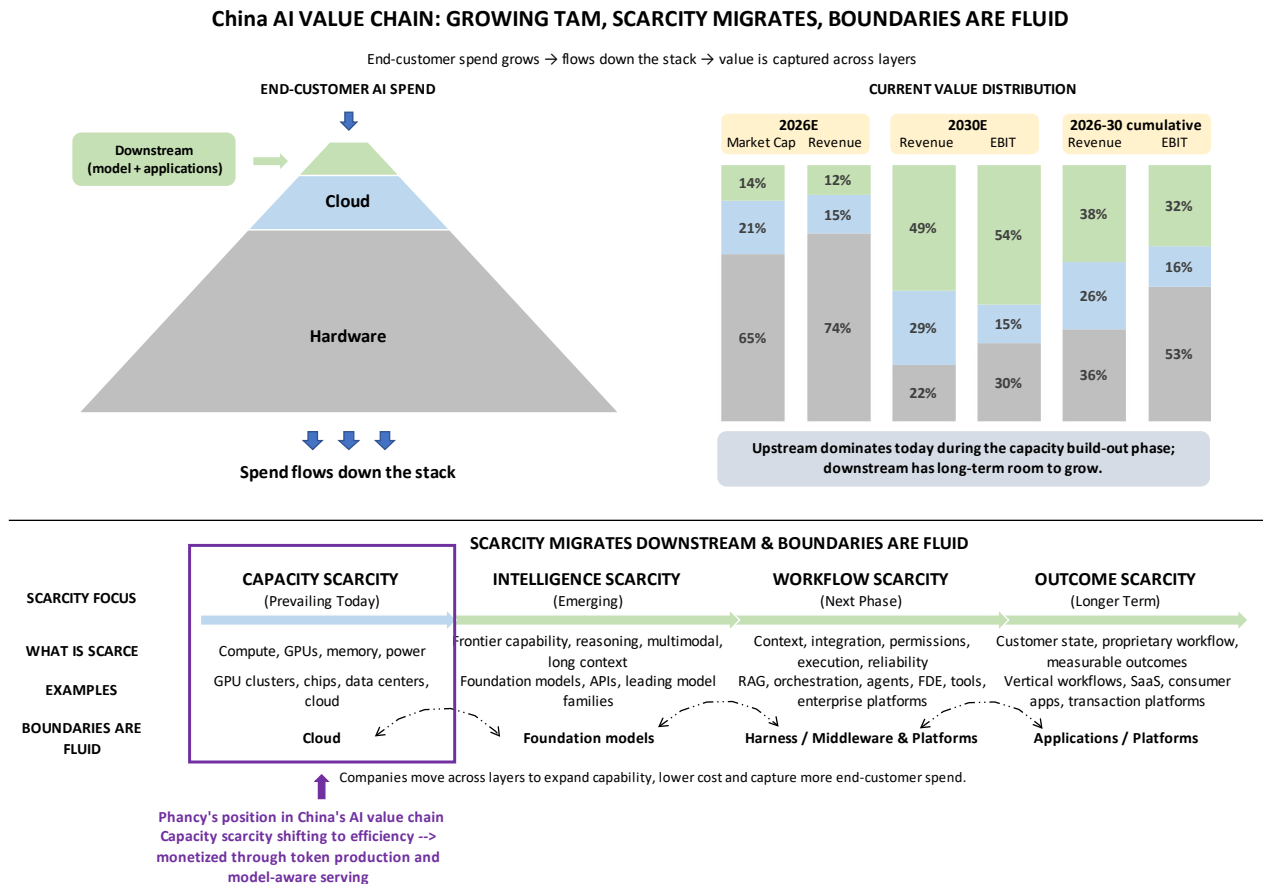
The source of differentiation within infrastructure is changing alongside this demand growth. During the earlier capacity-scarcity phase, access to GPUs and deployable clusters itself created economic value. As installed capacity expands, utilization and efficiency become increasingly important. Resource scheduling can improve cluster utilization, heterogeneous optimization allows workloads to operate across different accelerators, and model-aware serving can improve throughput, latency and memory efficiency. **Over time, infrastructure value depends increasingly on how much useful intelligence can be generated from a given compute base.** This is consistent with our broader industry view that infrastructure capture should increasingly be assessed through utilization, throughput, gross profit per compute and incremental returns.

China is particularly exposed to this transition because heterogeneity exists at both the hardware and model layers. Enterprises increasingly operate across Nvidia GPUs, Huawei Ascend and other domestic accelerators, which differ in compilers, operators, memory architecture, interconnect and serving environments. Customers can also select from DeepSeek, Qwen, GLM, Kimi, MiniMax and other models according to capability, price and deployment requirements. More hardware architectures and more model choices increase the engineering complexity of moving AI workloads into production.

This creates Phancy's core industry opportunity. **The company benefits from continued enterprise AI infrastructure demand today, while its longer-term positioning depends on whether heterogeneous resource management, model adaptation and serving optimization will allow it to generate more useful intelligence from the same underlying compute.** Its AI Platform monetizes this capability through enterprise deployments, while API creates a more direct exposure to Token consumption and the economics of intelligence production.

For more broad-based industry discussions, please refer to our China AI value chain industry note: [*China AI value chain: The expanding pie and race for value: Initiate broader coverage.*](#)

Figure 1: Phancy's position in the China AI value chain



Source: J.P. Morgan estimates, Bloomberg Finance L.P. (date as of Sep 11, 2026)

Company and business model: from enterprise AI software toward infrastructure optimization and Token production

Phancy's business mix has changed materially from its earlier enterprise AI software roots. In economic terms, Phancy today is primarily an AI infrastructure and enterprise deployment company.

The AI Platform generated c.Rmb3.1bn of revenue in 1H26, up 30% YoY, accounting for around 82% of group revenue. **The commercial model remains largely project based, with customers paying for infrastructure deployment together with subsequent maintenance and technical services.** This creates a less recurring accounting profile than traditional SaaS, although repeat demand can still emerge as customers expand deployed compute and move additional workloads into production. **HAMi/RISE is central to Phancy's infrastructure proposition.** Its role is to manage heterogeneous compute pools and improve utilization across different accelerators, while ModelHub extends the stack toward model adaptation and deployment. We expect AI Platform to remain a relatively steady growth business over 2026-28E at 26% CAGR. Enterprise AI deployment provides the underlying demand base, while Phancy's experience across heterogeneous environments should support continued expansion with existing and new customers.

API represents the most important change in Phancy's business model. Revenue reached approximately Rmb464mn in 1H26, up 861% YoY, establishing the business as a meaningful second growth engine. We expect API to remain the fastest-growing business through 2026-28E, at Rmb1507mn/3013mn/5424mn in 2026-28E. As supply expands, the quality of growth should increasingly depend on utilization, cost per Token and gross profit generated from the compute base.

Agentic AI generated approximately Rmb214mn of revenue in 1H26, up 5% YoY. **The current financial evidence remains early.** We would look for revenue reacceleration, repeat customer adoption, greater cross-customer product reuse, retention and better unit economics before assigning a more meaningful contribution to valuation.

Figure 2: Phancy's integrated system



Source: Company website. (data as of Sep 11, 2026)

Scarcity: heterogeneous optimization becomes more important as raw capacity becomes less scarce

The source of scarcity within Phancy's business is changing. Cross-chip optimization is one of the clearest sources of potential scarcity. A hardware vendor can optimize deeply for its own architecture, while a neutral platform can create value by managing the customer's broader compute pool. The model layer introduces a second source of complexity. **The commercial value of this complexity depends on measurable efficiency gains.** As raw compute capacity becomes more available, utilization, throughput, latency, memory efficiency and cost per Token become more important. Phancy creates economic value when its optimization stack allows the same infrastructure base to support greater Token output or lower serving cost. API provides a particularly useful financial test because the economics of utilization and serving are reflected more directly in gross margin.

We expect API gross margin to approach approximately 30% over the next two years as utilization improves, procurement scale increases and serving efficiency develops. Strong Token growth accompanied by rising gross margin would suggest Phancy is retaining part of the efficiency value it creates. Strong volume with persistently low margins would imply that more of the economics continue to accrue to compute and model suppliers. Enterprise production experience can create an additional layer of scarcity. Increasing reuse across HAMi/RISE, ModelHub and related capabilities should support better deployment efficiency and margin progression; continued reliance on bespoke engineering would retain more project-like economics.

Overall, we expect Phancy's scarcity to move from access to compute toward heterogeneous optimization and ultimately toward intelligence efficiency. The financial evidence should therefore shift over time from capacity and revenue growth toward utilization, API gross margin, gross profit generated from the compute base and incremental ROIC.

Defensibility and value capture: neutrality creates a role, while unit economics determine the size of the profit pool

Phancy operates in a part of the AI value chain where competitive boundaries are fluid. **Phancy's strongest strategic position is in customer environments that remain heterogeneous.** Vertically integrated providers have clear advantages inside their own ecosystems: chip vendors understand their hardware deeply, model developers control model architecture and official serving endpoints, and cloud providers combine infrastructure with broad customer distribution. Phancy's potential advantage comes from neutrality across these systems and from optimizing the customer's entire production environment rather than a single hardware or model stack. **This positioning is particularly relevant where enterprises operate mixed infrastructure, deploy several models and require private deployment or production-grade governance.** Cross-platform breadth can therefore support customer relevance. Customers need to receive a measurable benefit through higher utilization, lower inference cost, faster deployment or greater operating flexibility for Phancy to retain a durable take rate.

Open models expand the opportunity while also sharpening the value-capture test. Competitive open models provide increasingly capable intelligence that Phancy can deploy without bearing frontier pre-training costs. They also reduce customer dependence on any single model provider and create more demand for model selection and adaptation. **Phancy therefore needs its heterogeneous infrastructure capabilities, enterprise production experience and distribution to create enough incremental customer value to preserve attractive economics after compute and model costs.** API gross margin is one of the clearest indicators of whether this is occurring. Rapid API revenue establishes participation in Token growth; rising gross profit demonstrates capture.

This is also where our forecasts differ from consensus. Our 2028E adjusted net profit forecast is 37% above consensus. **We expect API to scale faster and its unit economics to improve more meaningfully as utilization rises.** We also expect revenue growth to run ahead of R&D and other operating expenses. The larger potential divergence at the profit level reflects our expectation that API scale increasingly converts into gross-profit growth and operating leverage instead of simply requiring proportional additions of compute and expense.

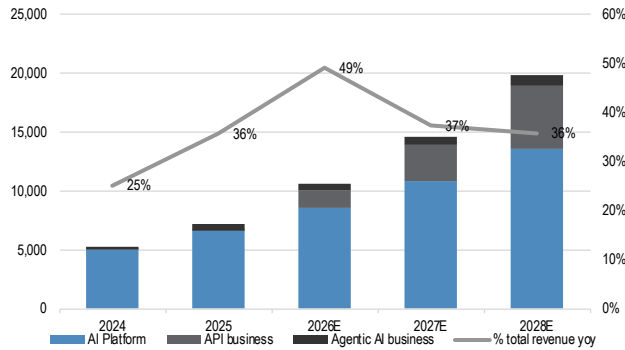
Financial quality and cash flow: earnings have inflected; capital productivity is the next validation point

Phancy's financial profile strengthened materially in 1H26. The changing revenue mix has initially weighed on gross margin. Gross profit reached approximately Rmb1.2bn in 1H26, while group gross margin declined from 37.7% in 1H25 to 32.8%. **We expect this relationship to improve over time.** The AI Platform should maintain a relatively stable margin profile given its cost-plus characteristics, while the API margin should benefit from higher utilization, procurement scale and serving efficiency. We expect API gross margin to approach c.30% over the next two years. The group margin trajectory will therefore depend on whether API unit economics improve quickly enough to offset its rising revenue contribution.

Operating leverage should provide an additional source of earnings growth. We expect R&D to continue growing in absolute terms while increasing more slowly than revenue over 2026-28E. We forecast 2026-28E revenue CAGR of 36% and expect adjusted net profit to reach Rmb0.9bn by 2028E. Cash conversion requires a separate framework because Phancy remains materially more capital intensive than traditional software. AI Platforms can require equipment procurement and working capital before customer collection, while API expansion requires continued access to inference compute.

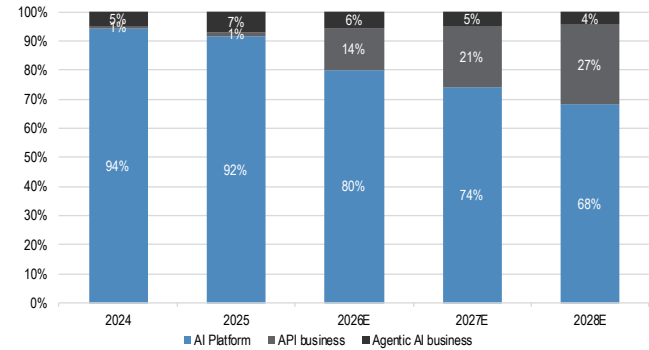
For this reason, accounting earnings provide only part of the picture; we will focus on gross profit, incremental ROIC, CFO, FCF and FCF per share. The most attractive outcome would be for incremental Token demand to be served increasingly through better utilization and higher throughput on the existing compute base. In that scenario, gross profit and cash flow can rise faster than invested capital. A more capital-intensive trajectory would require broadly proportional additions of owned or leased compute and working capital to sustain growth, supporting revenue while limiting improvement in returns. For H-share investors, the relevant question is the return generated by incremental capital: additional funding creates value when the resulting gross profit and cash flow grow faster than the associated capital base and any increase in share count. **We therefore see capital productivity as the next major financial test after the current revenue and earnings inflection.**

Figure 3: Phancy revenue forecasts & YoY growth (Rmb mn)



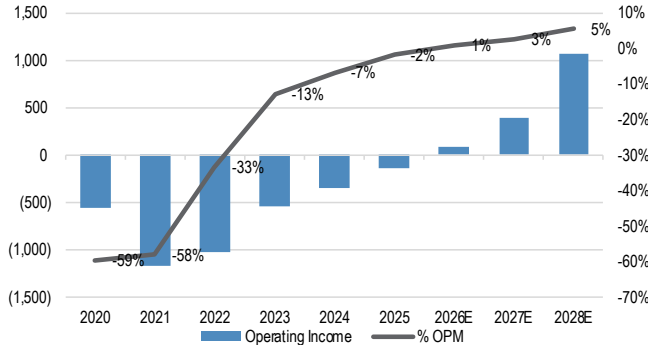
Source: Company annual reports 2024-2025, J.P. Morgan estimates.

Figure 4: Phancy revenue mix breakdown



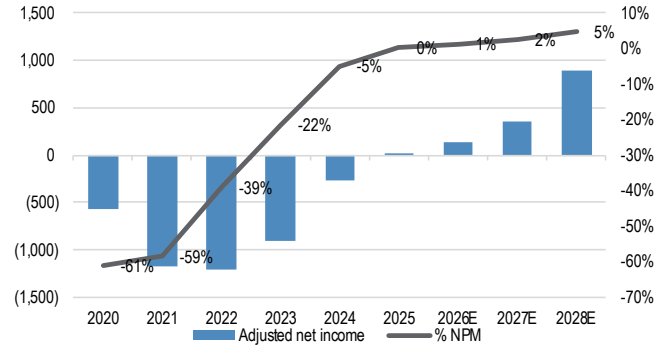
Source: Company annual reports 2024-2025, J.P. Morgan estimates.

Figure 5: Phancy operating profit & % operating margin (Rmb mn)



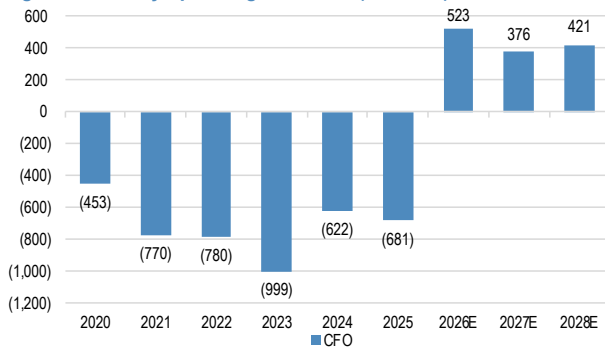
Source: Company annual reports 2023-2025, company prospectus (date as of Sep 18, 2023), J.P. Morgan estimates.

Figure 6: Phancy adjusted net profit & % net margin (Rmb mn)



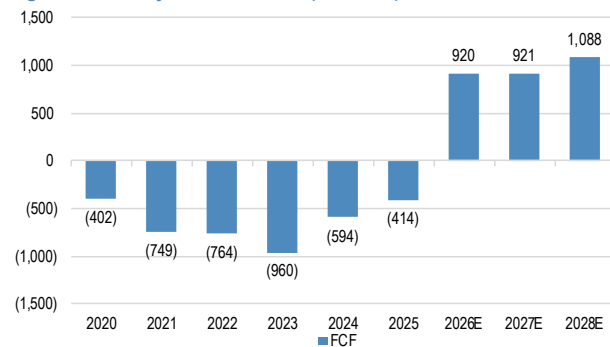
Source: Company annual reports 2023-2025, company prospectus (date as of Sep 18, 2023), J.P. Morgan estimates.

Figure 7: Phancy operating cash flow (Rmb mn)



Source: Company annual reports 2023-2025, company prospectus (date as of Sep 18, 2023), J.P. Morgan estimates.

Figure 8: Phancy free cash flow (Rmb mn)



Source: Company annual reports 2023-2025, company prospectus (date as of Sep 18, 2023), J.P. Morgan estimates.

Table 1: Phancy's P&L

Rmb mn	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	2,018	3,083	4,204	5,261	7,135	10,628	14,583	19,798
YoY %	114%	53%	36%	25%	36%	49%	37%	36%
COGS	1,065	1,596	2,225	3,016	4,652	7,400	9,937	13,303
Gross profit	953	1,487	1,980	2,245	2,483	3,228	4,646	6,495
Opex								
Selling and marketing expenses	(455)	(412)	(423)	(269)	(205)	(49)	(53)	(58)
Research and development expenses	(1,249)	(1,650)	(1,769)	(2,170)	(2,337)	(3,071)	(3,900)	(4,953)
General and administrative expenses	(542)	(528)	(342)	(193)	(154)	(155)	(158)	(161)
Credit loss allowance	(15)	(49)	(80)	(200)	(17)	(334)	(140)	(200)
Other operating income (loss), net	42	63	89	120	96	14	0	0
Other gains or losses, net	94	64	(1)	112	1	450	0	(50)
Operating expense	(2,126)	(2,513)	(2,525)	(2,600)	(2,617)	(3,145)	(4,251)	(5,422)
Operating profit	(1,173)	(1,026)	(545)	(355)	(133)	84	395	1,073
Add: Share-based compensation expenses	604	433	0	4	44	44	46	60
Add: Listing expenses	1	45	80					
Adjusted operating income	(569)	(548)	(465)	(351)	(89.361)	127	441	1,133
% Adjusted OPM	(0)	(0)	(0)	(0)	-1%	1%	3%	6%
Non-operating items								
Share of results of investments accounted for using the equity method	4	(3)	(2)	19	17	(35)	(39)	(42)
Finance income	24	46	54	52	77	68	61	61
Finance costs	(647)	(682)	(438)	(6)	(1)	(21)	(27)	(27)
Other income (loss), net						0	0	0
PBT	(1,792)	(1,665)	(931)	(290)	(40)	95	390	1,065
Income tax credits/(expense)	(10)	12	10	(6)	2	2	(59)	(160)
Net income	(1,802)	(1,653)	(921)	(296)	(38)	97	332	905
Non-controlling interests	(16)	(9)	(12)	(27)	(12)	7	25	67
Net income to owners of the company	(1,786)	(1,645)	(909)	(269)	(26)	90	307	838
Add: Share-based compensation expenses	604	433	0	4	44	44	46	60
Add: Listing expenses	1	45	80					
Add: Interest expense on redemption liabilities	639	671	425					
Adjusted net income/loss	(559)	(504)	(415)	(292)	6	141	378	965
Adjusted net income/loss attributable to the owners of the Company	(1,182)	(1,211)	(909)	(265)	18	133	353	898
Per share (Rmb/share)								
Weighted average shares:								
Basic	234	267	325	466	500	532	532	532
Dilute	234	267	325	466	500	533	533	533
EPS (basic)	(7.6)	(6.15)	(2.80)	(0.58)	(0.1)	0.2	0.6	1.6
EPS (diluted)	(7.6)	(6.15)	(2.80)	(0.58)	(0.1)	0.2	0.6	1.6
Adjusted EPS (basic)	(2.4)	(1.9)	(1.3)	(0.6)	0.0	0.3	0.7	1.8
Adjusted EPS (diluted)	(2.4)	(1.9)	(1.3)	(0.6)	0.0	0.3	0.7	1.8

Source: Company annual reports 2023-2025, company prospectus (date as of Sep 18, 2023), J.P. Morgan estimates.

Table 2: Phancy's balance sheet

Rmb mn	2021	2022	2023	2024	2025	2026E	2027E	2028E
ASSETS								
Current assets:								
Cash at bank and on hand	1,293	1,327	1,978	859	1,997	3,476	3,330	3,151
Restricted cash	8	7	58	3	0	0	0	0
Term bank deposits	20	-	493	560	378	378	378	378
Financial assets at fair value through profit or loss	2,536	1,330	562	475	832	832	832	832
Trade receivables, prepayments and other receivables	1,050	1,873	2,228	3,622	3,432	6,406	8,390	11,119
Contract assets	4	31	42	1	1	2	3	4
Inventories	184	350	295	172	329	472	634	848
Total current assets	5,095.7	4,918.2	5,656.5	5,690.3	6,968.8	11,566	13,567	16,333
Right-of-use assets	34	70	44	24	15	13	11	11
Property and equipment	50	48	47	35	291	636	1,036	1,465
Intangible assets	395	457	426	190	0	0	0	0
Investments accounted for using the equity method	115	46	53	555	718	718	718	718
Financial assets at fair value through profit or loss	246	478	457	460	711	711	711	711
Contract assets	1	16	21	1	-	-	-	-
Term bank deposits	510	685	204	405	566	566	566	566
Other non-current assets	1	-	238	228	22	22	22	22
Total non-current assets	1,353	1,801	1,491	1,897	2,324	2,667	3,065	3,494
TOTAL ASSETS	6,449	6,719	7,147	7,588	9,293	14,233	16,632	19,827
LIABILITIES AND EQUITY								
Current liabilities:								
Trade and other payables	505	1,089	1,314	2,278	1,218	2,912	4,595	6,238
Contract liabilities	174	326	146	173	305	402	552	749
Lease liabilities	24	28	26	11	11	11	11	11
Income tax payables	5	2	4	1	-	-	-	-
Borrowings	4	49	96	6	23	23	23	23
Other liabilities	45	57	57	28	28	28	28	28
TOTAL CURRENT LIABILITIES	757	1,551	1,643	2,498	1,586	3,376	5,209	7,049
Lease liabilities	11	44	20	11	1	1	1	1
Deferred tax liabilities	25	14	1	8	6	6	6	6
Borrowings	15	24	13	-	179	179	179	179
Other non-current liabilities	5,889	6,547	17	-	18	1,365	1,365	1,365
TOTAL LIABILITIES	6,696.7	8,180.0	1,694.8	2,516.8	1,789	4,927	6,759	8,599
Shareholders' equity:								
Paid-in capital/share capital	438	438	466	466	520	520	520	520
Treasury stock	(4,898)	(4,898)	-	(18)	(29)	(29)	(29)	(29)
Reserves	6,644	7,063	9,970	9,970	12,417	14,212	14,755	16,042
Accumulated losses	(2,534)	(4,178)	(5,086)	(5,355)	(5,381)	(5,381)	(5,381)	(5,381)
Others	-	-	-	-	(0)	(0)	(0)	(0)
Total shareholders' equity	(351.0)	(1,574.7)	5,349.1	5,062.1	7,525.6	9,321.0	9,863.7	11,150.8
Noncontrolling interests	103.0	113.7	103.4	8.8	(21.9)	(15)	10	77
TOTAL EQUITY	(248.0)	(1,461.0)	5,452.5	5,070.9	7,503.7	9,306.3	9,873.5	11,227.4

Source: Company annual reports 2023-2025, company prospectus (date as of Sep 18, 2023), J.P. Morgan estimates.

Table 3: Phancy's cash flow statement

Rmb mn	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating activities									
Net income	(749)	(1,792)	(1,665)	(931)	(290)	(40)	97	332	905
Adjustments:									
Depreciation on property and equipment	14	16	17	19	22	12	53	146	238
Amortization on right-of-use assets	27	26	28	29	22	10	2	1	1
Amortization of intangible assets	6	26	36	34	17	4	0	0	0
Provision for credit loss allowance, net	2	15	49	80	200	17	334	140	200
Impairment provision for inventories	0	2	1	2	6	3	3	3	3
Share-based payment expenses	174	604	433	0	4	44	44	46	60
Interest income	(6)	(24)	(46)	(54)	(52)	(77)	68	61	61
Interest expenses	189	647	682	437	6	1	1	1	1
Net gains on disposal of right-of-use assets	(1)	0	0	0	(1)	0	0	0	0
Net losses on disposal of property and equipment	0	(0)	0	0	0	0	0	0	0
Fair value changes on financial assets at fair value through profit or loss	(18)	(85)	(51)	16	(40)	(34)	(34)	(34)	(34)
Share of results of investments accounted for using the equity method	6	(4)	3	2	(19)	(17)	(35)	(39)	(42)
Net gains on partial disposals of investments accounted for using the equity method	(14)	(8)	(5)	(16)	(5)	(13)	(13)	(13)	(13)
Net gains on the partial disposal of subsidiaries with loss of control				0	(67)	(6)	(6)	(6)	(6)
Foreign exchange losses, net	4	1	2	4	(8)	(27)	(27)	(27)	(27)
Others	1			(7)			0	0	0
Net changes in working capital	(88)	(202)	(286)	(644)	(437)	(578)	19	(314)	(1,104)
Cash used in operations	(454)	(778)	(802)	(1,029)	(642)	(702)	504	296	241
Interest received	1	11	27	30	24	21	21	21	21
Income tax paid	0	(3)	(5)	(0)	(3)	0	(2)	59	160
Net cash provided by operating activities	(453)	(770)	(780)	(999)	(622)	(681)	523	376	421
Cash flows from investing activities									
Purchase of property and equipment and intangible assets	(51)	(21)	(16)	(39)	(28)	(267)	(398)	(546)	(667)
Proceeds from disposal of property and equipment	0	2	1	0	0	1			
Placement of term bank deposits	(96)	(520)	(270)	(100)	(1,292)	(8,563)			
Withdrawal of term bank deposits	-	96	130	100	1,001	8,588			
Interest income received from term bank deposits	-	7	7	13	48	47			
Purchase of short-term investments measured at fair value through profit or loss	(2,656)	(7,651)	(2,764)	(1,540)	(995)	(2,266)			
Purchase of long-term investments measured at fair value through profit or loss	(7)	(226)	(167)	(155)	(75)	(299)			
Proceeds from disposal of short-term investments measured at fair value through profit or loss	2,554	5,322	3,956	2,446	1,173	1,911			
Proceeds from disposal of long-term investments measured at fair value through profit or loss			-	2	-	78			
Proceeds from disposal of investments accounted for using the equity method	-	-	5	25	-	44			
Acquisition of an investment accounted for using the equity method	(30)	(15)	(6)	(6)	(300)	-			
Settlement of consideration payable for business combination completed in prior years		(255)	(126)	(43)	(43)	-			
Investment income received from disposal of short-term investments measured at fair value through profit or loss	12	54	72	19	15	2			
Proceeds from partial disposal of subsidiaries with loss of control, net of cash disposed					19	64			
Dividends received	-	8	-	-	2	-			
Loan to related parties	135				-	(177)			
Others	-	0	-	-	-	0			
Net cash used in investing activities	(139)	(3,200)	822	723	(474)	(837)	(398)	(546)	(667)
Cash flows from financing activities									
Payments for shares repurchased			-	(259)	(18)	(21)			
Proceeds from placing of shares			-	-	-	2,473	1,347		
Transaction costs attributable to issue of shares			-	-	-	(1)			
Proceeds from borrowings		30	51	105	46	200	-	-	-
Repayment of borrowings		(47)	(8)	(68)	(40)	(4)			
Interest expenses paid		(1)	(1)	(3)	(1)	(0)			
Payment of lease liabilities	(27)	(27)	(28)	(32)	(26)	(12)	-	-	-
Advance from a non-controlling shareholder	0		-	-	9	9			
Payment of listing expenses capitalized or to be capitalized		(28)	(22)	(5)	-	(3)			
Proceeds from issuance of ordinary shares upon IPO, net of underwriting commissions, levy and stamp duty			-	998	-	-			
Capital contribution by shareholders	969	4,284	-	195	-	-	7	25	67
Other financing activities			-	-	-	-			
Net cash provided by financing activities	942	4,210	(9)	931	(31)	2,642	1,354	25	67
Exchange gain/loss	(2.1)	0.2	0.3	(4.5)	8	14			
Net increase in cash and cash equivalents	348.3	240.6	34.1	651.1	(1,119.3)	1,138.4	1,479	(146)	(179)
Cash and cash equivalents at beginning of year	704	1,052	1,293	1,327	1,978	859	1,997	3,476	3,330
Cash and cash equivalents at end of year	1,052	1,293	1,327	1,978	859	1,997	3,476	3,330	3,151

Source: Company annual reports 2023-2025, company prospectus (date as of Sep 18, 2023), J.P. Morgan estimates.

Valuation and shareholder returns: API economics and capital productivity determine the premium

We initiate coverage of Phancy at **Overweight** with a HK\$50 price target, based on 15x 2028E EV/EBITDA, reflecting the relatively asset-heavy nature of its enterprise AI deployment and infrastructure-related businesses. We believe P/E is less informative while depreciation, deployment costs and continued investment materially affect reported net profit, whereas EBITDA provides a cleaner measure of the economics generated by its installed platform and enterprise customer base. The company also has potential to shift its business mix over time toward more reusable software and infrastructure-optimization products, including scheduling, model adaptation and serving capabilities.

Our 15x 2028E EV/EBITDA target multiple therefore balances the strategic value of the company's enterprise AI positioning with the capital intensity of its current operating model. Successful productization and reuse across customers could progressively improve margins, revenue per employee and cash returns, creating scope for multiple expansion. Continued dependence on customized, infrastructure-heavy deployment would keep the appropriate valuation below that of more scalable asset-light software businesses.

Table 4: JPMe versus consensus

YE 31 Dec	FY2026			FY2027		
Figures in Rmb mn	JPMe	Consensus	% delta	JPMe	Consensus	% delta
Net revenues	10,628	10,867	-2%	14,583	15,045	-3%
AI Platform	8,519	8,234	3%	10,840	10,869	0%
API business	1,507	197	665%	3,013	197	1431%
Agentic AI business	603	826	-27%	729	809	-10%
Gross profit	3,228	3,597	-10%	4,646	4,995	-7%
Selling and distribution expenses	(49)			(53)		
R&D expenses	(3,071)			(3,900)		
G&A expenses	(155)			(158)		
Operating profit	84	36	135%	395	258	53%
PBT	95	62	53%	390	328	19%
Net income	97	64	52%	332	323	3%
Net income, adjusted	141	106	32%	378	334	13%
EPS (Rmb/share)	0.2	0.1	42%	0.6	0.6	2%
Adjusted EPS (Rmb/share)	0.3	0.2	26%	0.7	0.6	18%
Margin analysis (%)						
Gross margin	30.4%	33.1%	-2.7%	31.9%	33.2%	-1.3%
Operating margin	0.8%	0.3%	0.5%	2.7%	1.7%	1.0%
Net margin	0.9%	0.6%	0.3%	2.3%	2.1%	0.1%
Net margin, adjusted	1.3%	1.0%	0.3%	2.6%	2.2%	0.4%

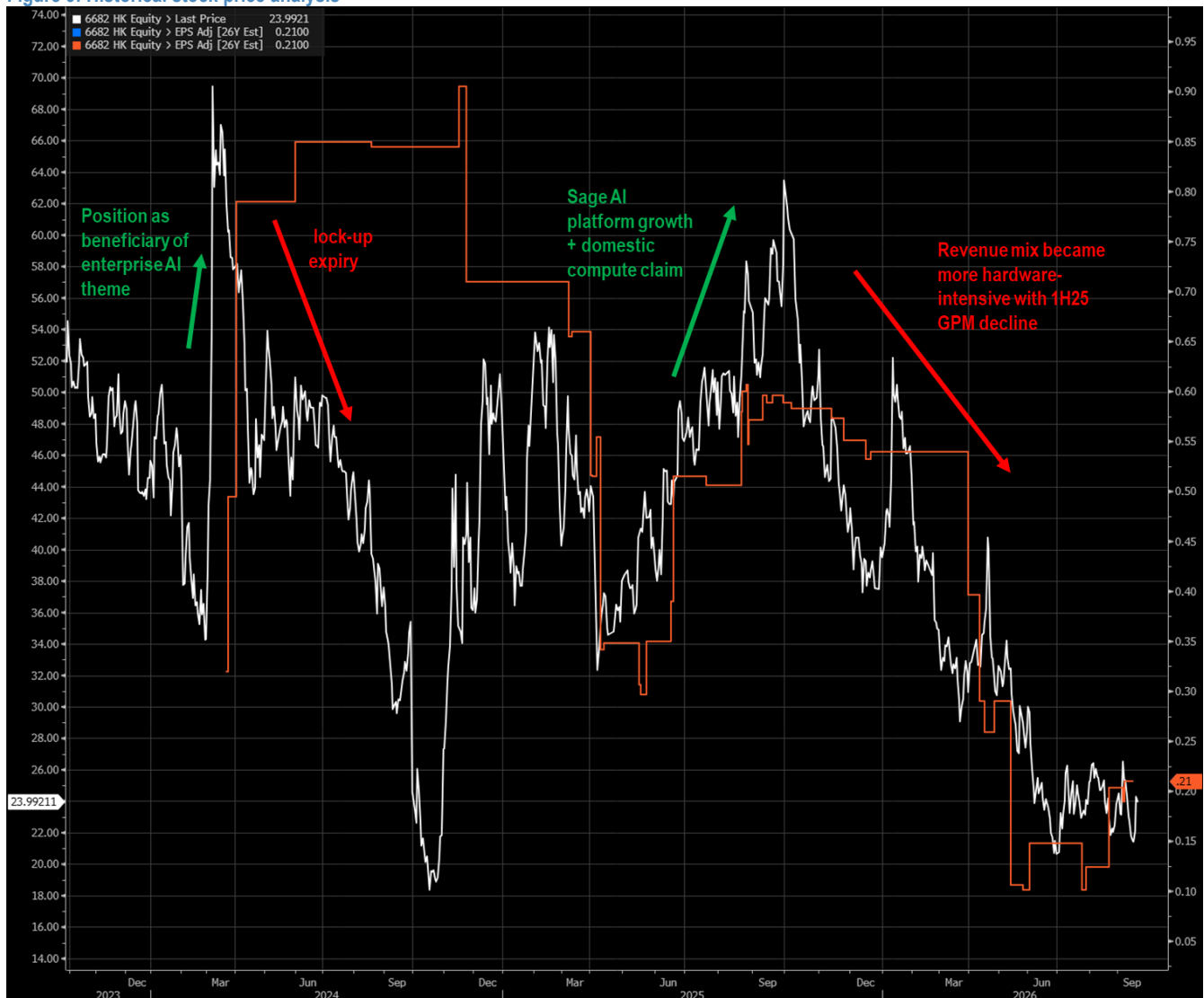
Source: J.P. Morgan estimates, Bloomberg Finance L.P. (date as of Sep 21, 2026)

Historical share price analysis: narrative shifts have driven the multiple; financial delivery should matter more from here

Over the past 3-5 years, Phancy's share price has reflected both AI industry sentiment and changing perceptions of its position in the value chain. The emergence of generative AI from 2023 shifted investor attention toward AI infrastructure and domestic compute demand, increasing the strategic value assigned to Phancy's deployment and infrastructure exposure and making the stock more sensitive to broader AI capex expectations.

Rapid API growth has introduced another valuation framework by giving Phancy direct exposure to Token consumption through compute, model deployment and serving optimization. API revenue upside and gross-margin improvement could drive earnings upgrades, while stronger CFO, FCF and incremental ROIC would demonstrate that higher Token volume is translating into shareholder value. Strong revenue growth with weak margins or heavy capital requirements would likely limit multiple expansion.

Figure 9: Historical stock price analysis



Source: J.P. Morgan estimates, Bloomberg Finance L.P. (date as of September 21, 2026).

Risks and catalysts

The main risks to our Overweight rating relate to whether Phancy can convert rapid AI infrastructure growth into durable software economics and cash returns. The company benefits from rising inference demand and the growing complexity of heterogeneous compute, but both sources of scarcity can change quickly. We see four main risks: weaker-than-expected AI compute demand, pressure on independent inference economics, faster commoditization of the optimization layer, and continued capital intensity. The key test is whether revenue growth increasingly comes from reusable software and higher utilization rather than additional hardware and working capital.

- **AI compute demand could grow more slowly than our forecasts.** Our estimates assume that lower inference costs create more usage through reasoning, agents and broader enterprise adoption. Faster model and infrastructure efficiency should therefore expand the number of economical AI tasks rather than reduce aggregate compute demand. This relationship is not guaranteed. If efficiency improves faster than new usage is created, Token growth and infrastructure demand could fall below our assumptions. Phancy would then face weaker API demand, lower utilization and slower absorption of new capacity.
- **Independent inference economics could come under pressure even if Token demand remains strong.** Phancy benefits from providing efficient access to multiple models and compute resources, but the spread available to independent inference providers can narrow. Model developers may cut official API prices, cloud providers may subsidize inference, and fewer competitive open models or tighter commercial licenses could reduce the value of third-party endpoints. Capacity shortages create the opposite risk by limiting volume and raising procurement costs. We would therefore focus on API revenue growth together with gross margin and utilization. Strong Token growth without improving unit economics would provide weaker evidence of value creation.
- **The scarcity of the optimization layer could decline as the ecosystem matures.** HAMi, RISE and ModelHub create value by improving scheduling, model adaptation, resource utilization and deployment across heterogeneous infrastructure. These capabilities are particularly valuable while domestic accelerators have fragmented software stacks and customers need help moving models across different hardware. Over time, chip vendors may improve their own software, cloud providers can internalize more optimization, and open-source tools may standardize deployment. Phancy therefore needs to turn its current engineering advantage into reusable products with broad customer adoption. Higher software revenue, greater product reuse and improving gross margin would provide stronger evidence that this differentiation is durable.
- **Capital intensity remains the main financial risk.** GPU purchases, leases and working-capital requirements mean that rapid revenue growth can coexist with weak operating cash flow and FCF. This becomes more important if Phancy expands capacity ahead of demand or hardware economics deteriorate before assets are fully utilized. Our thesis therefore requires improving returns on incremental capital as the business scales. Revenue growth running ahead of R&D and infrastructure spending, together with stronger CFO, FCF and incremental ROIC, would show that software optimization is translating into better financial economics rather than simply supporting a larger compute base.

The main upside catalysts would be stronger API growth accompanied by higher utilization and margin improvement, together with broader n of HAMi, RISE and ModelHub. Evidence that these products can be reused across customers and hardware platforms would be particularly important, as it would support a shift from capacity-heavy deployment toward more scalable optimization software. Better CFO, FCF and incremental ROIC would provide the clearest financial confirmation. A successful A-share listing could expand the domestic funding base and support future growth, although the valuation benefit would depend on dilution and returns generated on the new capital. Longer term, agentic AI provides additional upside if Phancy can extend its infrastructure and model capabilities into reusable enterprise workflows. We see **simultaneous improvement in API growth, gross margin, software reuse and cash returns** as the strongest evidence that Phancy is capturing more value from each unit of AI infrastructure deployed.

Investment Thesis, Valuation and Risks

Phancy Group Co., Ltd. *(Overweight; Price Target: HK\$50.00)*

Investment Thesis

We rate Phancy Overweight as China's fragmented AI infrastructure environment creates structural demand for heterogeneous-compute scheduling, optimization and enterprise deployment. We believe products such as HAMi and ModelHub can become increasingly valuable as customers seek to improve utilization across different accelerator architectures and reduce the cost and complexity of deploying AI workloads. The investment case depends on productization: successful conversion of deployment expertise into reusable software can support higher gross margin, stronger revenue per employee and more scalable economics. In our framework, this gives Phancy exposure to both infrastructure optimization scarcity and the enterprise implementation gap.

Valuation

Our Dec-27 PT of HK\$50 is based on 15x 2028E EV/EBITDA. We use EV/EBITDA to reflect the company's infrastructure and deployment exposure, which remains more capital- and service-intensive than traditional software. We apply a 15x multiple with Phancy's faster growth and differentiated heterogeneous-compute exposure supporting a premium to mature infrastructure peers, while the still-high deployment and services component limits justification for an 18–20x software-like multiple.

Risks to Rating and Price Target

Downside risks include slower enterprise AI infrastructure spending, reduced complexity across domestic accelerator environments, and stronger competition from cloud vendors or open-source infrastructure software. Productization may progress more slowly than expected, leaving revenue dependent on customized deployment and limiting margin expansion. Higher delivery costs, weaker utilization or slower customer adoption could also delay operating leverage and cash-flow conversion.

Phancy - H: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	5,261	7,135	10,628	14,583	19,798	Cash flow from operating activities	(622)	(681)	523	376	421
COGS	(3,016)	(4,652)	(7,400)	(9,937)	(13,303)	o/w Depreciation & amortization	62	26	55	147	238
Gross profit	2,245	2,483	3,228	4,646	6,495	o/w Changes in working capital	(437)	(578)	19	(314)	(1,104)
SG&A	(462)	(360)	(204)	(211)	(219)	Cash flow from investing activities	(474)	(837)	(398)	(546)	(667)
Adj. EBITDA	(293)	(107)	139	542	1,311	o/w Capital expenditure	(28)	(267)	(398)	(546)	(667)
D&A	(62)	(26)	(55)	(147)	(238)	as % of sales	0.5%	3.7%	3.7%	3.7%	3.4%
Adj. EBIT	(351)	(89)	127	441	1,133	Cash flow from financing activities	(31)	2,642	1,354	25	67
Net Interest	-	-	-	-	-	o/w Dividends paid	-	-	-	-	-
Adj. PBT	(286)	4	138	436	1,124	o/w Shares issued/(repurchased)	(18)	2,453	1,347	0	0
Tax	(6)	2	2	(59)	(160)	o/w Net debt issued/(repaid)	6	196	0	0	0
Minority Interest	27	12	(7)	(25)	(67)	Net change in cash	(1,119)	1,138	1,479	(146)	(179)
Adj. Net Income	(292)	6	141	378	965	Adj. Free cash flow to firm	(650)	(947)	125	(170)	(246)
Reported EPS	(0.58)	(0.05)	0.17	0.58	1.57	y/y Growth	(37.3%)	45.7%	(113.2%)	(236.3%)	44.5%
Adj. EPS	(0.63)	0.01	0.26	0.71	1.81						
DPS	-	-	-	-	-						
Payout ratio	-	-	-	-	-						
Shares outstanding	466	500	533	533	533						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	859	1,997	3,476	3,330	3,151	Gross margin	42.7%	34.8%	30.4%	31.9%	32.8%
Accounts receivable	3,622	3,432	6,406	8,390	11,119	EBITDA margin	(5.6%)	(1.5%)	1.3%	3.7%	6.6%
Inventories	172	329	472	634	848	EBIT margin	(6.7%)	(1.3%)	1.2%	3.0%	5.7%
Other current assets	4,356	4,139	7,258	9,404	12,349	Net profit margin	(5.6%)	0.1%	1.3%	2.6%	4.9%
Current assets	5,690	6,969	11,566	13,567	16,333	ROE	(5.6%)	0.1%	1.7%	3.9%	9.2%
PP&E	59	306	648	1,047	1,476	ROA	(4.0%)	0.1%	1.2%	2.4%	5.3%
LT investments	-	-	-	-	-	ROCE	(6.8%)	(0.8%)	1.5%	3.9%	9.1%
Other non current assets	1,649	2,018	2,018	2,018	2,018	SG&A/Sales	8.8%	5.0%	1.9%	1.4%	1.1%
Total assets	7,588	9,293	14,233	16,632	19,827	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	6	23	23	23	23	Net debt/EBITDA	2.9	16.7	NM	NM	NM
Payables	2,278	1,218	2,912	4,595	6,238	Sales/Assets (x)	0.7	0.8	0.9	0.9	1.1
Other short term liabilities	214	344	441	591	788	Assets/Equity (x)	1.4	1.3	1.4	1.6	1.7
Current liabilities	2,498	1,586	3,376	5,209	7,049	Interest cover (x)	-	-	-	-	-
Long-term debt	0	179	179	179	179	Operating leverage	(97.5%)	(209.2%)	(495.3%)	661.5%	439.1%
Other long term liabilities	19	204	1,550	1,550	1,550	Tax rate	(2.2%)	45.9%	1.5%	13.4%	14.2%
Total liabilities	2,517	1,789	4,927	6,759	8,599	Revenue y/y Growth	25.1%	35.6%	49.0%	37.2%	35.8%
Shareholders' equity	5,062	7,526	9,321	9,864	11,151	EBITDA y/y Growth	(36.8%)	(63.4%)	(229.6%)	290.1%	141.9%
Minority interests	9	(22)	(15)	10	77	EPS y/y Growth	(50.9%)	(102.0%)	1983.9%	168.7%	155.5%
Total liabilities & equity	7,588	9,293	14,233	16,632	19,827						
BVPS	10.87	15.05	17.53	18.55	20.97						
y/y Growth	(34.0%)	38.4%	16.5%	5.8%	13.0%						
Net debt/(cash)	(853)	(1,795)	(3,274)	(3,128)	(2,949)						
Valuation							FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	NM	1,862.2	89.4	33.3	13.0
						P/BV (x)	2.2	1.6	1.3	1.3	1.1
						EV/EBITDA (x)	NM	NM	63.3	16.5	7.0
						Dividend Yield	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Phancy - H (6682.HK, 6682 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.

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